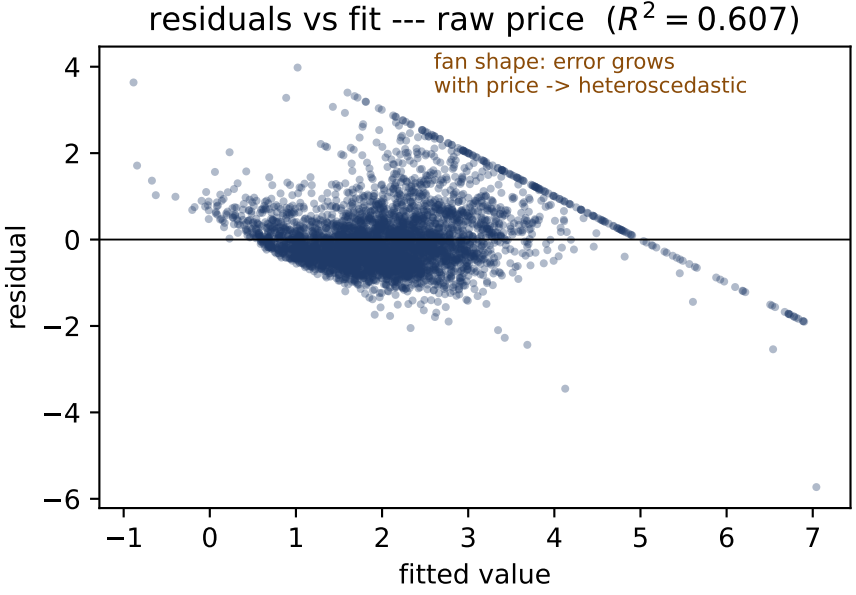
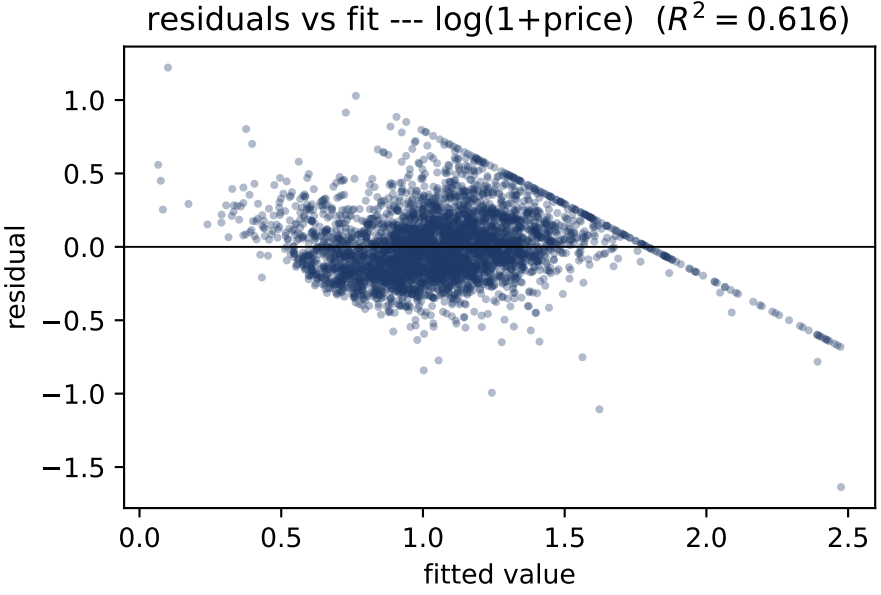

residuals vs fit --- raw price ($R^2 = 0.607$)
fan shape: error grows
with price -> heteroscedastic
residual
fitted value
4
2
0
−2
−4
−6
−1
0
1
2
3
4
5
6
7


residuals vs fit --- log(1+price) ($R^2 = 0.616$)
residual
fitted value
1.0
0.5
0.0
−0.5
−1.0
−1.5
0.0
0.5
1.0
1.5
2.0
2.5